SETTLEMENT AGREEMENT AND RELEASE

This Settlement Agreement and Release ("Agreement") is made in the State of Arizona by and between Maricopa County Regional School District No. 509 (District), a political subdivision of the state of Arizona, and the Arizona Department of Administration operating through the School Facilities Oversight Board (SFOB), a division of the state of Arizona.

RECITALS

WHEREAS, SFOB is statutorily charged with overseeing the capital needs of K-12 school districts pursuant to A.R.S. § 41-5701 et seq., and

WHEREAS, the District operates as an accommodation school under the governance of the Maricopa County School Superintendent pursuant to A.R.S. § 15-308.

WHEREAS, on October 25, 2004, the District purchased land located at 6550 W. Orangewood Avenue in Glendale, Arizona (Sold Property) using monies distributed by the School Facilities Board from the new school facilities fund. pursuant to A.R.S. § 15-2041.

WHEREAS, SFB disbursed $1,657,869.04 to the District in connection with the Sold Property.

WHEREAS, the SFB was repealed in 2021 and the SFOB was created to direct the distribution of monies from the new school facilities fund.

WHEREAS, the District sold the Sold Property in September 2022 with a purchase price of for $7,594,447.35.

WHEREAS, the District used proceeds from the sale to purchase property at 800 W. Adams in Phoenix, Arizona (Purchased Property) at a purchase price of approximately $6,400,000.00.

WHEREAS, the District constructed a building on that property that the District is using as a public school for at-risk students.

WHEREAS, the parties acknowledge that the District did not return funds to the SFOB pursuant to A.R.S. § 41-5741(F) when the Property was sold.

WHEREAS, the Arizona legislature changed the funding statutes in 2013 such that the District is not eligible to obtain funds distributed pursuant to A.R.S. § 41-5741(G) from the SFOB. A.R.S.§ 41-5741 (P)

WHEREAS, the parties desire to resolve all matters related to sale of the Property and the return of the proceeds rather than engage in protracted and expensive litigation.

AGREEMENT

NOW THEREFORE, in consideration of the premises and the mutual agreements, covenants, and provisions contained in this Agreement, the parties agree and declare as follows:

1. Agreement Upon Sale. If the District sells the Purchased Property, the District agrees to the following stipulations:

a. The District will adhere to all statutory requirements regarding the sale of the Purchased Property, including but not limited to A.R.S. § 41-5701 et seq.

b. The District shall not lease, sell or take any action that would diminish the value of the Purchased Property without obtaining prior written approval from SFOB.

c. Should a sale of the Purchased Property occur, the District agrees that it shall return $1,657,869.04 in disbursed funds to new school facilities fund as required by A.R.S. § 41-5741(F).

2. Mutual Waiver And Release Of Claims.

a. In consideration for the exchange of promises as set forth herein, the District hereby releases and forever discharges SFOB, its respective board members, officers, directors, agents, representatives, successors and assigns, from any and all liabilities, claims, demands, actions, causes of action and liability whatsoever, whether known or unknown, arising out of or related to the sale of the Sold Property or the purchase of the Purchased Property.

b. In consideration for the exchange of promises as set forth herein, SFOB hereby releases and forever discharges the District, its respective board members, officers, directors, agents, representatives, successors and assigns, from any and all liabilities, claims, demands, actions, causes of action and liability whatsoever, whether known or unknown, arising out of or related to the sale of the Sold Property or the purchase of the Purchased Property.

c. Neither party will file or maintain any charge, claim, or action of any kind, nature, or character whatsoever against the other, or cause or permit any such charge, claim, or action to be filed or maintained, in any federal, state or municipal court, administrative agency, or other tribunal, related to the items released herein.

3. Legal Representation. The parties acknowledges that each has been advised to consult with its own attorneys prior to executing this Agreement.

4. No Admission Of Wrongdoing. This Agreement does not constitute an admission that any person or entity violated any local, state, or federal ordinance, regulation, ruling, statute, rule of decision, or principle of common law, or that any person or entity engaged in any improper or unlawful conduct or wrongdoing.

5. Authority. Each party represents and warrants that it has the authority to enter into this Agreement, that the party has not assigned any claims to any person or entity, and that the party has not filed for bankruptcy or insolvency.

6. Invalidity. In the event that a court of competent jurisdiction determines that any provision of this Agreement is invalid, illegal, or unenforceable in any respect, such a determination will not affect the validity, legality, or enforceability of the remaining provisions of this Agreement, and the remaining provisions of this Agreement will continue to be valid and enforceable.

7. No Third-Party Beneficiaries. Nothing in this Agreement will be construed to give any rights or benefits in this Agreement to anyone other than the parties. All duties and responsibilities undertaken under this Agreement will be for the sole and exclusive benefit of the parties and not for the benefit of any other party not a party to this Agreement.

8. No Rule Of Strict Construction. All parties have approved the language of this Agreement, and no rule of strict construction will be applied against any party.

9. Entire Agreement. The parties intend for this Agreement to define the full extent of their legally enforceable undertakings. The parties do not intend that any representations or statements made in any prior conversations, discussions, negotiations, correspondence, or writings between them be legally enforceable, and all other agreements and understandings between them relating to the subject matter of this Agreement are superseded by this Agreement. The parties will execute and deliver to each other any and all such further documents and instruments, and shall perform any and all such other acts, as reasonably may be necessary or proper to carry out or effect the purposes of this Agreement.

10. Governing Law. This Agreement will be construed in accord with, and any dispute or controversy arising from any breach or asserted breach of this Agreement will be governed by, the laws of the State of Arizona.

IN WITNESS WHEREOF, the parties have executed this Agreement on the dates indicated at their respective signatures below.

DATED this ___ day of _____, 2024

SCHOOL FACILITIES OVERSIGHT BOARD

By_____

Its_____

PATRICIA COOLEY
Notary Public - State of Arizona
MARICOPA COUNTY
Commission # 627238
Expires March 20, 2026

Patricia Cooley
12/31/2024

MARCOPA REGIONAL SCHOOL DISTRICT NO. 509

By_____
Maricopa County School Superintendent